WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

SOUTH KOREA

Asia

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Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Seoul	Capital and the country's leading business, financial and corporate-headquarters centre, home to most major Korean groups and multinational regional offices	Financial services, AI and digital services, biotech, professional services
Gyeonggi semiconductor belt (Yongin, Pyeongtaek, Icheon)	Core of the world-leading memory-chip industry; SK hynix announced a $15 billion investment in the Yongin semiconductor cluster in February 2026	Semiconductors, equipment and materials, AI data centres
Incheon / Incheon Free Economic Zone (IFEZ)	International airport and seaport gateway; Songdo hosts a leading biopharmaceutical manufacturing cluster	Biopharma, logistics, aviation services, smart-city development
Busan / Busan-Jinhae Free Economic Zone	Korea's main container port and a leading Pacific transhipment hub with an adjoining free economic zone	Port logistics, maritime services, finance, advanced manufacturing
Ulsan, Geoje and Changwon (south-east industrial belt)	Centre of Korea's globally competitive shipbuilding, automotive, refining and petrochemical industries, now gaining from Korea-US shipbuilding cooperation	Shipbuilding, automotive, energy, hydrogen and clean-tech
Gwangyang Bay / Yeosu	Steel and petrochemical complex with deep-water port facilities and its own free economic zone	Steel, chemicals, battery materials, logistics
Free Economic Zones (9 nationwide)	Designated zones from Incheon to Gwangju and Daegu-Gyeongbuk offering deregulation, tax benefits and investor-friendly administration	Advanced manufacturing, R&D, logistics, services

INVESTOR ENTRY ROUTES

- Invest KOREA (the national investment promotion agency within KOTRA) provides one-stop support from investment reporting to after-care, alongside the Office of the Foreign Investment Ombudsman for resolving investor grievances
- Foreign Investment Promotion Act: registration as a foreign-invested company from KRW 100 million with at least 10% foreign ownership, with negotiated cash grants reviewed by the Foreign Investment Committee and total financial support of up to 50% of the investment

- Nine Free Economic Zones, Foreign Investment Zones (land leases from 1% of official land value for up to 50 years, plus customs and VAT exemptions on capital goods) and Free Trade Zones for qualifying projects
- Treaty protection through the revised KORUS FTA (in force since January 2019) and Korea's wider FTA network, giving US and other treaty-partner investors national treatment and access to international arbitration
- Free-floating won with ongoing foreign-exchange liberalisation: 24-hour onshore USD-KRW trading from July 2026 and offshore won settlement planned for full implementation from 2027
- Capital-market entry via KOSPI and the government bond market, supported by FTSE World Government Bond Index inclusion from April 2026 and a 39-task roadmap targeting MSCI developed-market watch-list status by June 2027
- Sector entry through partnership with Korea's leading industrial groups and their supply chains in chips, batteries, shipbuilding and autos, with defined foreign-ownership limits in a small number of sensitive sectors

MARKET-ENTRY OBSERVATION

South Korea in October 2026 is enjoying its strongest economic momentum in years, powered by the global AI-driven semiconductor cycle. GDP grew 0.6% quarter-on-quarter and 3.7% year-on-year in Q2 2026 after 1.8% quarterly growth in Q1, and in August the Bank of Korea raised its 2026 growth forecast from 2.6% to 3.3% and its 2027 forecast to 2.9%. Exports reached a record $120.9 billion in September, with chip exports of $60.3 billion, and January–September exports already exceeded $800 billion, surpassing the previous full-year record of $709.3 billion; the current account posted a $46.1 billion surplus in August. Foreign direct investment pledges hit a record $36.05 billion in 2025, with actual arrivals up 16.3% to $17.95 billion, and first-half 2026 arrivals reached a record $10.73 billion (+42.6%). Capital-market reforms, including 24-hour won trading, World Government Bond Index inclusion and an improved MSCI accessibility rating, are further opening the market to international investors.

Korea's main structural challenge is its reliance on imported energy, and 2026 has shown how well the economy manages it. Before the effective closure of the Strait of Hormuz in early March 2026, over 60% of Korea's crude imports transited the strait. Seoul responded quickly: it released 22.5 million barrels from strategic reserves, redirected purchases through Saudi Arabia's Red Sea port of Yanbu, the UAE's Fujairah terminal and the United States, and by early July crude imports were back above seasonal norms. The Middle East's share of crude imports fell from 69.1% in 2024 to 62.8% in January–May 2026, with the Americas rising to 26.6%, and the government plans to expand strategic reserves by around 20 million barrels from 146 million. A fuel price cap held September inflation to 2.9%, the Bank of Korea has tightened policy to 3.00% to anchor expectations, and foreign-exchange reserves of $440.6 billion provide a substantial buffer. Diversification is opening opportunities in LNG, crude-processing upgrades, storage and clean energy.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Energy import dependence and Gulf shipping disruption	Most crude has historically come from the Middle East via Hormuz, and the 2026 disruption raised fuel costs, though supplies recovered to seasonal norms by July through alternative routes	Strategic reserves, supplier diversification and fuel price stabilisation cushion the economy; energy-intensive investors can build supply and price scenarios into planning
Export concentration in semiconductors and US trade terms	Chips accounted for half of September 2026 exports, and US tariffs of 15% apply under the 2025 Korea-US trade framework	The $350 billion Korea-US investment framework stabilises market access, while strong demand from China, ASEAN and the US supports broad-based growth; diversified supply-chain investment benefits from both
Inflation and rising interest rates	Inflation eased to 2.9% in September 2026 (core 2.8%), and the Bank of Korea has raised its base rate twice to 3.00%, with household debt above 2,000 trillion won	Clear central-bank communication supports price stability; investors can lock in financing early and hedge rate exposure
Demographic ageing	The fertility rate remains low at 0.8 in 2025, although births rose 6.7%, the	Labour constraints are driving rapid adoption of automation, robotics and AI,

Issue	Potential Impact	Possible Mitigation
	strongest increase in 15 years	and creating growth in healthcare and the silver economy
Regulatory complexity and labour rigidity	Foreign investors report a complex, country-specific regulatory framework and rigid labour policies, which the government has pledged to address through regulatory reform	Use Invest KOREA and the Foreign Investment Ombudsman, engage local legal counsel early and work through foreign chambers on regulatory issues
Capital-market accessibility	MSCI kept Korea in emerging markets in June 2026, citing the won's limited offshore convertibility and FX liquidity, while upgrading its rating on investment-product availability	A 39-task government roadmap, 24-hour FX trading and offshore won settlement from 2027 position investors early for a potential re-rating
Korean Peninsula security	Tensions with North Korea are a long-standing feature of the operating environment that markets have historically absorbed	The US-Korea alliance underpins deterrence and stability; include standard business-continuity planning in operations

INVESTOR RISK NOTE

South Korea's risk profile is that of an advanced, highly diversified industrial economy with strong institutions, deep capital markets and substantial external buffers. Growth is accelerating on record exports, a large current account surplus and record FDI, and the Lee Jae Myung government's commitment to regulatory reform and capital-market opening is producing concrete steps, from 24-hour won trading to bond-index inclusion. The main external exposure in 2026 has been energy: the Hormuz disruption raised fuel costs, but Korea restored crude supplies within months through reserves and new routes, and is reducing Middle East dependence over the longer term. Inflation is being addressed through measured rate rises, and household debt is under close macroprudential oversight. Investors in energy-intensive or rate-sensitive activities should build price and financing scenarios into their plans, while those in technology, advanced manufacturing and services can take comfort from the strength of the current cycle and the depth of Korea's reserves.

MARKET ACCESS

South Korea has been a WTO member since 1995 and has one of the world's most extensive free trade networks, including the revised Korea-US FTA (KORUS), the EU-Korea FTA, the UK-Korea FTA, the Korea-China FTA and the Regional Comprehensive Economic Partnership (RCEP), which links it to ASEAN, China, Japan, Australia and New Zealand. Its largest export markets in September 2026 were China ($26 billion), the United States ($24.3 billion), ASEAN ($21.3 billion) and the EU ($8.7 billion). US market access is anchored by the 2025 trade framework setting tariffs at 15% alongside a $350 billion Korean investment commitment. Busan and Incheon connect Korean producers to trans-Pacific and intra-Asian shipping and air-freight routes, making Korea a natural base for supplying Asia-Pacific and North American markets.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Lee Jae Myung)	Sets national economic strategy, including regulatory reform, AI and semiconductor promotion and Korea-US economic cooperation	Primary reference point for Korea's strategic direction and reform priorities
Invest KOREA (KOTRA) and the Foreign Investment Ombudsman	National investment promotion agency providing one-stop entry, incentive and after-care support, with the Ombudsman resolving investor grievances	Standard first point of contact for market entry and incentive negotiation
Ministry of Trade, Industry and Resources	Leads FDI policy, cash-grant decisions through the Foreign Investment Committee, industrial strategy and energy-security planning	Key counterpart for incentive packages and industrial and energy projects

Actor	Why It Matters	Waverley Engagement Angle
Bank of Korea (Governor Shin Hyun-song)	Monetary authority managing the base rate, currently 3.00%, and $440.6 billion of foreign-exchange reserves	Relevant for interest-rate, currency and FX-liberalisation matters
Financial Services Commission	Financial regulator overseeing banking and capital markets, including market-access reforms for international investors	Key counterpart for financial-services licensing and capital-market participation
Korea-US Strategic Investment Corporation	State-run entity managing Korea's $350 billion strategic investment programme in the United States in energy, semiconductors and shipbuilding	Relevant for investors seeking co-investment in Korea-US supply-chain projects
Free Economic Zone authorities (e.g. IFEZ, Busan-Jinhae)	Administer the nine zones, offering deregulation, tax benefits and dedicated investor services	Direct route to sites, incentives and local permitting

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Korea, the European Chamber of Commerce in Korea and the British Chamber of Commerce in Korea are the leading foreign business associations and active advocates on regulatory issues, alongside the Korea Chamber of Commerce and Industry and the Federation of Korean Industries for engagement with domestic business. Invest KOREA hosts regular investor events, including the annual Invest KOREA Summit, and maintains overseas offices worldwide through KOTRA's network. The 2025 APEC summit in Gyeongju produced around $9 billion of new investment announcements from companies such as AWS, Siemens Healthineers and Amkor Technology, illustrating the value of high-level business forums. State financial institutions such as the Korea Development Bank and the Export-Import Bank of Korea are useful co-financing partners, and the Korean Commercial Arbitration Board offers an established venue for dispute resolution.

INVESTOR PROFILE BEST SUITED

South Korea suits investors seeking a sophisticated, innovation-led market at the heart of the global technology supply chain: semiconductor equipment, materials and AI-infrastructure investors drawn by the chip boom; advanced-manufacturing, battery and shipbuilding-supply-chain investors able to serve both Asian and US markets; biopharma and healthcare investors building on the Songdo cluster and an ageing population; and financial investors positioned for further capital-market opening and a potential MSCI re-rating. Energy investors will find growing opportunities in LNG, storage and clean energy as Korea diversifies supply, and should build fuel-price scenarios into project economics.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest KOREA and scope incentive terms
Open direct dialogue with Invest KOREA to clarify eligibility for cash grants, tax and customs incentives under the Foreign Investment Promotion Act.

STEP 2: Select a zone and site early
Compare Free Economic Zones, Foreign Investment Zones and Free Trade Zones with the relevant zone authorities, prioritising proximity to target supply chains and ports.

STEP 3: Build partnerships with Korean industrial groups
Identify supplier, joint-venture or co-investment roles in the semiconductor, battery, shipbuilding and biopharma ecosystems, including Korea-US supply-chain projects.

STEP 4: Plan for energy, rate and currency scenarios
Model fuel-price, interest-rate and won movements, informed by Korea's rapid 2026 supply recovery, and arrange hedging and financing in good time.

STEP 5: Use foreign chambers and specialist advisers on regulation
Work with local counsel, foreign chambers and the Foreign Investment Ombudsman to navigate licensing, labour and sector-specific rules from the outset.